ACCOUNT UPDATE · FULL DETAIL

Pearson

Trading update · nine months ended 30 September 2026 · released 22 October 2026

Pearson is re-segmenting into four customer-focused units and completing AI-native acquisitions (ITS, Workera). It will invest in AI platforms and assessment technology.

Outlook: Expect mid-single digit underlying revenue growth for 2026.

1 Key numbers

REVENUE GROWTH
+5%
nine-month period

ADJUSTED OPERATING PROFIT
$863m–$896m
FX £:$1.35

FREE CASH FLOW CONVERSION
90-100%
nine-month period

NET FINANCE COSTS
c.$106m
interest adjusted

2 Organisation change

Re-segmenting into four customer-focused units effective 1 January 2027.

BEFORE
Old structure not detailed in excerpt

EFFECTIVE
1 January 2027

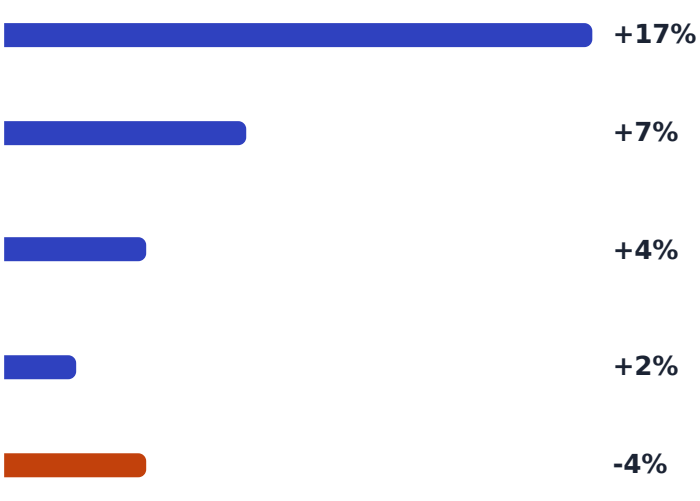
ONE-OFF COST
c.**$66m** reorganisation cost, half non-cash

SAVINGS
savings to be reinvested

NEW UNIT	SIZE (US$)	WHAT IT INCLUDES	LEADER
US K12	**c.$1.6bn**	K12 Assessments, Virtual Schools, College & Career Ready, Special Education	—
US Higher Education	**c.$797m**	US Higher Education	Kate Eberle Walker
UK & International Education	**c.$1.1bn**	Qualifications, Learning & Assessment Services	—
Enterprise	**c.$1.3bn**	Professional Assessments, Talent & Clinical Assessments, Workforce Skilling	—

3 Growth by segment

Growth, nine months to 30 September 2026



4 Area of focus — where they will spend

AREA	WHERE THEY WILL SPEND	AMOUNT	WHEN
AI platform Technology	Invest in AI-native skills intelligence platform	—	—
Acquisition Technology	Complete Workera acquisition (AI-native assessment)	—	before year-end 2026
Assessment tech Technology	Bring ITS assessment technology in-house	—	—
Product launch Technology	AI-powered co-writing assistant for clinical reports	—	—

TECHNOLOGY & IT SPENDING

- Invest in AI-native skills intelligence platform (no amount disclosed)
- AI-powered co-writing assistant launch
- Acquisition of Workera adds AI-native team
- Acquisition of ITS brings assessment technology in-house

5 Key changes

TYPE	WHAT CHANGED	WHEN
Acquisition	**ITS acquisition** Brings assessment technology in-house	—

Acquisition	**Workera acquisition** AI-native enterprise assessment platform, close before year-end 2026	2026 year-end
Organisation	**Re-segmenting** Four customer-focused business units effective 1 Jan 2027	1 January 2027
Product	**AI co-writing assistant** Launched for clinical and psychoeducational reports	—

6 Leadership changes

PERSON	ROLE	CHANGE	WHEN
Omar Abbosh	Chief Executive	New role	—
Tom ap Simon	President Higher Education and Virtual Learning	Leaving	early 2027
Kate Eberle Walker	Leader of US Higher Education business unit	Appointed	—

7 Key dates

DATE	EVENT
22 October 2026	Release of Nine Month Trading Update
1 January 2027	Effective date of new business units
2026 year-end	Target for completion of Workera acquisition
4Q26	Workera expected to close
11 December 2026	Virtual Schools Investor Seminar

Sources

Company website: 2026 Nine Month Trading Update (press release)
Company website: 2026 Nine Month Trading Update (presentation)
Items marked (news): recent news headlines
Amounts converted to US dollars at £1 = $1.33 (October 2026).
Read automatically from public documents; numbers, names and quotes not found in them were removed.